

Procure-to-Pay Discovery Report

Acme Manufacturing

▲ AuroPro · Autonomous Discovery Platform

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Executive Summary

This assessment reviewed how high-value purchase commitments are approved and recorded against the company's own procurement policy. The single most important finding is that EUR 557,000 of large commitments were released without the second Finance approval the policy requires.

557,000

Value
released
without
second app...

12%

Share of total
value
bypassing
se...

3

issues
identified

3

opportunities
mapped

2

sources
analysed

The situation

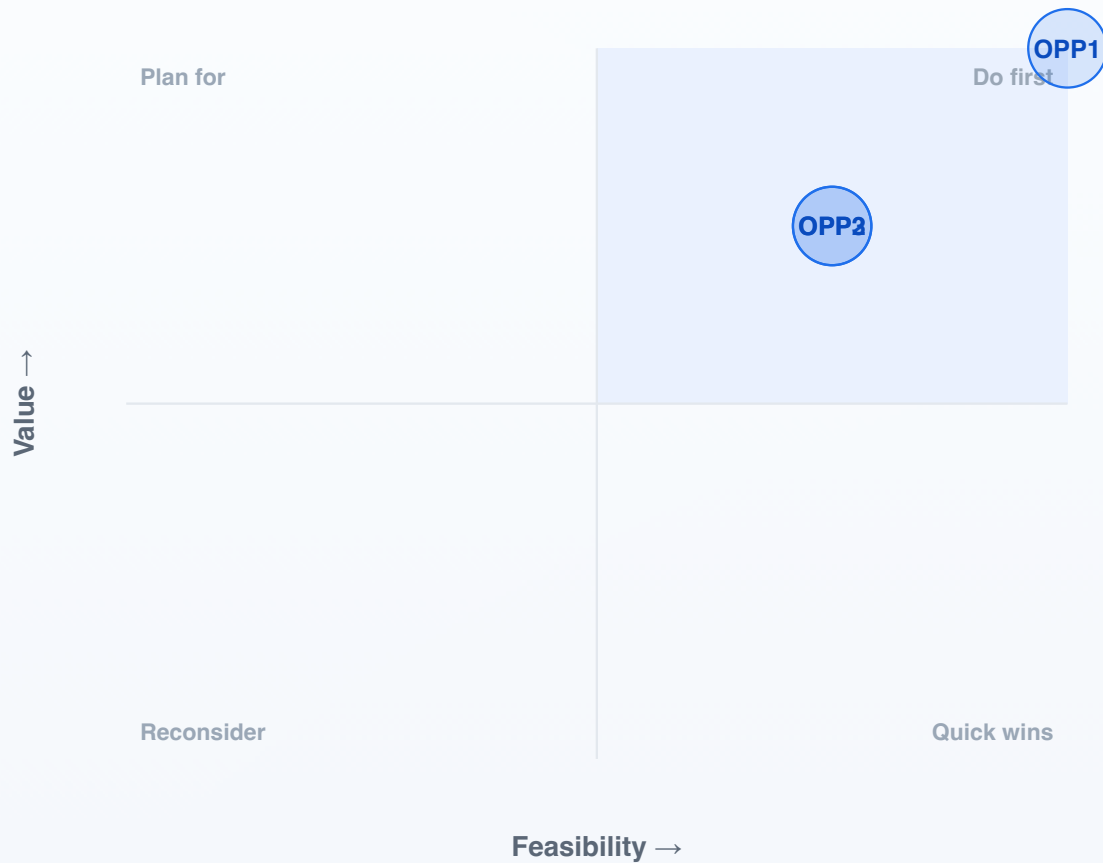
Purchase commitments are recorded in a structured export and governed by a written procurement policy. Today, that policy mandates a second Finance approval on large spend and prohibits ordering before a purchase order exists, but the recorded commitments show seven large orders released on a single approval and three ordered entirely outside the controlled process. The policy itself does not describe how these exception states should be detected or owned.

The opportunity

The value lies in turning the controls the policy already names into controls the business can actually enforce and monitor. The first move is a structured approval checkpoint that holds large commitments until a second Finance approval is recorded, supported by a routine that surfaces the exception states the export already captures.

Where to start

WHERE EACH OPPORTUNITY SITS ON VALUE VERSUS FEASIBILITY



HITL WORKFLOW

Enforced second-approval checkpoint for large commitments

Introduce a controlled approval checkpoint that holds any purchase order above the large-spend threshold until a second Finance approval is recorded,...

EUR 557,000 of large commitments brought under enforced dual control

7 — seven large orders that would now require a second approval

AUTOMATION PIPELINE

Purchase-order-first ordering gate

Introduce a control that prevents an order from being placed with a supplier unless a valid purchase order already exists, enforcing the policy's abs...

EUR 216,000 of maverick spend brought into the controlled process

3 — three orders that would now require a purchase order first

What we read

Purchase Order Export, Procurement Policy. Every figure in this assessment is computed from these sources and traces back to them.

Read on: the Current State, the issues found, and the recommended opportunities.

1. Current State Assessment

How Procure-to-Pay runs today at Acme Manufacturing. A factual baseline of the process, the systems that support it, and how information is structured — stated as fact, no judgements.

1.1 Domain overview

This domain covers how the company commits to spend with suppliers — from the point a purchase order is raised, through approval, to the point an order is placed. The process is steered by a written procurement policy and recorded in a structured commitments export. The policy sets two headline controls: a mandatory second Finance approval on large purchase orders, and a requirement that a purchase order exists before any order is placed.

Purchase orders are raised and recorded with an approval status and an indication of whether the order followed or preceded the purchase order. The procurement policy requires a second Finance approval above a defined value threshold and requires that a purchase order exists before ordering. The recorded commitments show two distinct approval states in use, with seven large orders carrying only a single approval and three orders placed before any purchase order existed. The policy describes the controls that should apply and does not describe who detects, owns, or remediates orders that fall into these exception states.

1.2 Process flow

The end-to-end flow, who performs each step and on which system:



Step	Performed by	System	What happens
1. Raise purchase order	Requesting function	Commitments export	A purchase order is created and recorded in the commitments export with its value and approval status.
2. Apply first approval	Approver	Commitments export	A first approval is recorded against the purchase order. The export carries two distinct approval states.
3. Apply mandatory second Finance approval on large spend	Not assigned	Procurement policy	The procurement policy requires a second Finance approval on purchase orders above the defined value threshold. The policy names this control and does not describe how it is enforced or who owns its enforcement.
4. Confirm purchase order precedes order	Requesting function	Procurement policy	The policy requires that a purchase order exists before an order is placed with a supplier. The export records whether each order followed this sequence.
5. Place order with supplier	Requesting function	Commitments export	The order is committed with the supplier. There is no documented detective or remediation step covering orders that reached this point in an exception state.

1.3 Systems & sources

Each system that supports this process — what it is, how it is used, who owns it, and the constraints observed.

Commitments export

The structured record of purchase orders, capturing each order's value, its approval status, and whether the order followed or preceded the purchase order.

How it's used. Used to record and review purchase commitments. It already distinguishes two approval states and already marks which orders were placed before a purchase order existed.

Ownership & access. Owned by the procurement and finance functions that maintain the commitments record.

Observed constraints. It records the approval state and order sequence and does not itself enforce the second-approval or order-sequence rules; orders can be recorded in an exception state without any follow-up step attached.

Procurement policy

The written rulebook that defines the mandatory second Finance approval on large spend and the requirement to have a purchase order before an order is placed.

How it's used. Referenced as the source of the control requirements that approvals and ordering should follow.

Ownership & access. Owned by the function accountable for procurement governance.

Observed constraints. It names the second-approval control and does not describe how that control is detected or enforced, and it does not assign an owner or remediation step to the exception states the export already records.

1.4 Information format & structure

The patterns the source information follows — this drives how it can be ingested and reasoned over.

Pattern	Description	Where it appears
Type 1 — Structured transactional record	A structured export of purchase commitments carrying value, approval status, and order sequence for each order, with two distinct approval states in use.	Your recorded purchase commitments
Type 2 — Governing policy document	A written rulebook stating the control requirements that approvals and ordering should follow.	Your procurement policy

1.5 Process inventory

- **Purchase order approval** — Authorise a purchase commitment, including the mandatory second Finance approval on large spend.
- **Order-sequence control** — Ensure a purchase order exists before any order is placed with a supplier.
- **Exception handling** — Detect, own, and remediate orders recorded in an exception state. Currently not described in any document.

1.6 Ownership map

Activity	Responsible	Accountable
Raise purchase order	Requesting function	Requesting function
First approval	Approver	Approver
Mandatory second Finance approval	Not assigned	Not assigned
Order-sequence control	Requesting function	Not assigned
Exception detection and remediation	Not assigned	Not assigned

1.7 System inventory

System	Role	System of record for
Commitments export	Record of purchase orders, their value, approval status, and order sequence	Purchase commitments and their recorded approval state
Procurement policy	Written rulebook setting the second-approval and order-sequence controls	The control requirements that should govern purchase commitments

1.8 Handoff catalogue

- Raise purchase order → First approval (*Recorded approval status against the purchase order*)
- First approval → Second Finance approval (*Manual, with no documented owner or enforcement*)

- Approval → Place order with supplier (*Recorded order sequence indicating whether the purchase order preceded the order*)

Pain Points & Opportunities

The issues found in the discovery, ranked by business impact, each mapped to a recommended opportunity.

ISSUES RANKED BY BUSINESS IMPACT (MOST MATERIAL FIRST)

- PP1 Large commitments released without the mandatory second Finance...
- PP2 Orders placed before any purchase order existed, with no proven...
- PP3 No owner or remediation defined for the exception states the re...

Large commitments released without the mandatory second Finance approval

Seven purchase orders, each above the large-spend threshold, were released carrying only a single approval. Together these represent EUR 557,000 of commitments and 12.0 percent of total purchase order value, released without the second Finance approval the policy mandates. The largest single order in the record reached EUR 150,000.

- 7 — seven large orders released with only a single approval
- EUR 557,000 released without the mandated second approval
- 12.0 percent of total purchase order value
- the largest single order reached EUR 150,000

Root cause: The second-approval control is named in the policy but is not enforced at the point of approval; nothing holds a large order until a second approval is recorded.

Pattern: Single-approval release of large spend — the dual-control designed to prevent unauthorised large commitments is bypassed because it is advisory rather than enforced.

Addressed by: OPP1 (see the Opportunity Portfolio)

Where this comes from: Purchase Order Export and Procurement Policy

Orders placed before any purchase order existed, with no preventive control at all

Three orders, worth EUR 216,000 and representing 4.7 percent of total purchase order value, were placed before any purchase order existed — outside the controlled procurement process entirely, against an absolute prohibition. All three of these orders also lacked the second approval, meaning no preventive control applied to them at any point.

3 — three orders placed outside the controlled process

EUR 216,000 committed outside the controlled process

4.7 percent of total purchase order value

3 — all three also lacked the second approval

Root cause: There is no enforced checkpoint requiring a purchase order to exist before an order is placed, so commitments can be made entirely outside the controlled process.

Pattern: Maverick spend with compounded control failure — ordering outside the process, combined with the absence of any second approval, leaves these commitments with no preventive control whatsoever.

Addressed by: OPP3 (see the Opportunity Portfolio)

Where this comes from: Purchase Order Export and Procurement Policy

No owner or remediation defined for the exception states the record already captures

The procurement policy names a 'second approval' control, yet the term appears zero times in the written rulebook, and no document assigns an owner or a detective or remediation step to the exception states the export already records. As a result, the EUR 557,000 of single-approval commitments and the EUR 216,000 of maverick commitments can persist without anyone detecting or actioning them.

2 — the record carries two distinct approval states

EUR 557,000 of single-approval commitments left ungoverned

EUR 216,000 of maverick commitments left ungoverned

Root cause: The policy describes the controls that should apply but is silent on exception handling — there is no defined ownership for detecting or remediating recorded exceptions.

Pattern: Ungoverned exception states — the system records the exception, but no role is accountable for acting on it, so recorded exceptions sit unaddressed.

Addressed by: OPP2 (see the Opportunity Portfolio)

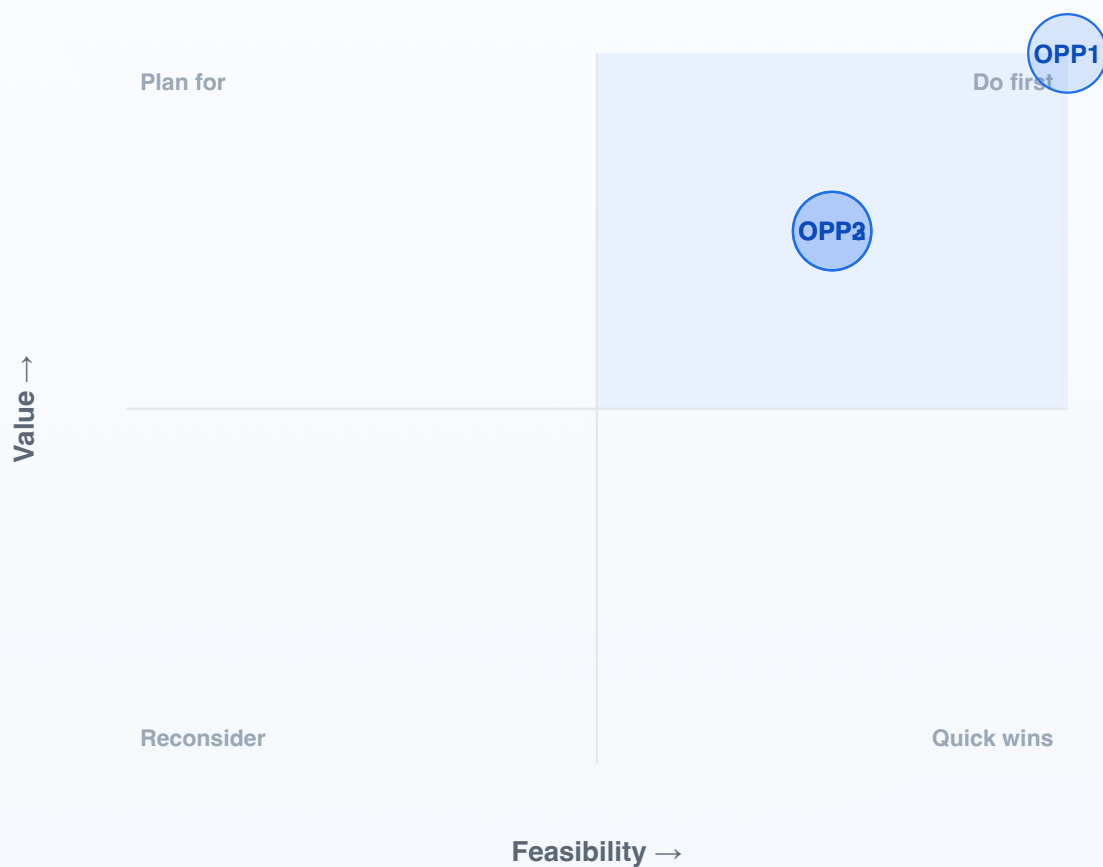
Where this comes from: Procurement Policy and Purchase Order Export

Transformation Recommendation

Which opportunities to pursue, in what order, by value and feasibility.

Value vs. feasibility

WHERE EACH OPPORTUNITY SITS ON VALUE VERSUS FEASIBILITY



DO FIRST

Enforced second-approval checkpoint for large commitments

Purchase-order-first ordering gate

PLAN FOR

Exception monitoring and ownership for recorded exceptions

CONSIDER

—

DEPRIORITISE

—

Opportunity ratings

Opportunity	Pattern	Value	Feasibility	Sequence
Enforced second-approval checkpoint for large commitments	HITL Workflow	High	High	Can start now
Purchase-order-first ordering gate	Automation Pipeline	High	High	Requires Customer Master Reconciliation first
Exception monitoring and ownership for recorded exceptions	HITL Workflow	Medium	High	Requires Customer Master Reconciliation first

Prioritization rationale

Each opportunity assessed across three readiness dimensions. The rating (high / medium / low) is followed by the reason, so the sequence is defensible rather than asserted.

Opportunity	Data readiness	Technical complexity	Operational readiness
Enforced second-approval checkpoint for large commitments	HIGH the approval status and order value already exist as structured information in the commitments record	LOW the rule is a value threshold and an approval hold applied to existing information	MEDIUM requires Finance to staff and own the second-approval step, which is currently not assigned
Purchase-order-first ordering gate	HIGH the order sequence already exists as structured information in the commitments record	LOW the check confirms a purchase order reference is present before ordering	MEDIUM needs an agreed, owned route for genuine urgent exceptions so the gate is not worked around
Exception monitoring and ownership for recorded exceptions	HIGH the exception states are already recorded in the commitments export	LOW surfacing recorded exception states for review	LOW requires the policy to assign exception ownership, which is currently absent

Sequencing rationale

The enforced second-approval checkpoint comes first because it addresses the largest exposure — EUR 557,000 of single-approval commitments — and establishes the dual-control foundation the other interventions rely on. The purchase-order-first gate follows, because all three maverick orders also lacked a second approval, so the gate is most effective once the dual-control checkpoint is already in place. Exception monitoring comes last, as it watches over both controls and only becomes meaningful once they are enforced and the residual exception states are well defined.

Dependencies: The purchase-order-first gate depends on the second-approval checkpoint, and exception monitoring depends on both being live so that the states it surfaces are genuine residual exceptions rather than uncontrolled releases.

Strategic readiness

The business is well positioned: both the rulebook and the recorded commitments already exist, and the approval status and order sequence are captured as structured information. The main readiness step is organisational — assigning Finance ownership of the second-approval step and defining exception ownership, both of which are currently not assigned.

Where this should converge

Once these interventions land, large purchase commitments will only release after a second Finance approval is recorded, and no order will reach a supplier without a purchase order already in place. The dual-control the policy mandates becomes an enforced step rather than an advisory one, and the requirement to have a purchase order before ordering is upheld at the point of ordering. The exception states the record already captures will have named owners and a routine that drives each to remediation, so recorded exceptions are seen and acted on rather than persisting unaddressed. The result is a procurement process where the rulebook and the recorded outcomes converge — the controls the policy describes are the controls the business actually enforces and monitors.

AI Opportunity Portfolio

The recommended interventions in full — what the problem is, how the process changes, and what it delivers.

At a glance

Opportunity	Pattern	Who it serves	Knowledge sources	Expected behaviour
Enforced second-approval checkpoint for large commitments	HITL Workflow	Requesting function, Finance approver, Procurement lead	The commitments record, The procurement policy's threshold and approval rules	Day to day, it checks every order's value at approval and holds those above the threshold until a second Fina...
Purchase-order-first ordering gate	Automation Pipeline	Requesting function, Procurement lead, Finance approver	The commitments record, The procurement policy's order-sequence rule	Day to day, it confirms a valid purchase order exists before any order is placed and stops those that do not ...
Exception monitoring and ownership for recorded exceptions	HITL Workflow	Procurement lead, Finance approver, Internal audit	The commitments record, The procurement policy's controls	Day to day, it surfaces every order recorded in an exception state and routes it to a named owner for remedia...

In detail

Enforced second-approval checkpoint for large commitments

HITL WORKFLOW

Introduce a controlled approval checkpoint that holds any purchase order above the large-spend threshold until a second Finance approval is recorded, turning the

policy's mandated dual-control from an advisory rule into an enforced step.

Before

1. Raise purchase order

Requesting function · Commitments export

A large purchase order is raised and recorded with a single approval.

2. Release on single approval

Approver · Commitments export

The order is released with only one approval recorded, even though its value requires a second.

Seven large orders worth EUR 557,000 released on a single approval

After

1. Raise purchase order

Requesting function · Commitments export

A large purchase order is raised and its value is checked against the large-spend threshold.

2. Hold for second Finance approval

Finance approver · Commitments export

Any order above the threshold is held and routed to a second Finance approver. It cannot be released until that second approval is recorded.

3. Release on dual control

Finance approver · Commitments export

The order releases only once both approvals are recorded.

Business impact. This directly addresses the EUR 557,000 of large commitments released without a second approval, which today represent 12.0 percent of total purchase order value. By holding large orders until dual control is satisfied, the company restores the control the policy already mandates and removes the single-approval release path.

EUR 557,000 of large commitments brought under enforced dual control

7 — seven large orders that would now require a second approval

12.0 percent of total purchase order value protected

How we get there: Based on the seven large orders released on single approval and their recorded value.

How it's delivered. Define the large-spend threshold from the policy, configure an approval hold for orders above it, and route held orders to a Finance approver.

Embed the rule at the point of approval in the commitments record so release is impossible without the second approval.

Who uses it. Requesting function, Finance approver, Procurement lead

Expected behaviour. Day to day, it checks every order's value at approval and holds those above the threshold until a second Finance approval is recorded. It never releases a large order on a single approval and never grants the second approval itself.

Escalation & human fallback. If a held order is not approved within the agreed window, it is escalated to the Finance approver's manager for a decision; the system never auto-approves.

Sources. The commitments record, The procurement policy's threshold and approval rules **Formats.** Structured transactional record, Governing policy document

Dependencies: Independent — can start immediately. Prerequisite for the AI Credit Decisioning step.

Where this comes from: Procurement Policy and Purchase Order Export

Purchase-order-first ordering gate AUTOMATION PIPELINE

Introduce a control that prevents an order from being placed with a supplier unless a valid purchase order already exists, enforcing the policy's absolute prohibition on maverick spend.

Before

1. Place order without a purchase order

Requesting function · Commitments export

An order is placed with a supplier before any purchase order exists.

Three orders worth EUR 216,000 placed outside the controlled process, all also lacking a second approval

After

1. Check purchase order exists

Requesting function · Commitments export

Before an order can be placed, the control confirms a valid purchase order is already in place.

2. Block order without a purchase order

Procurement lead · Commitments export

If no purchase order exists, the order cannot proceed and is returned to the requesting function to raise one first.

Business impact. This addresses the EUR 216,000 of orders placed entirely outside the controlled process — 4.7 percent of total purchase order value — by requiring a purchase order before any order can be committed. Because all three maverick orders also lacked a second approval, this gate works alongside the dual-control checkpoint to close the path that left these commitments with no preventive control at all.

EUR 216,000 of maverick spend brought into the controlled process

3 — three orders that would now require a purchase order first

4.7 percent of total purchase order value

How we get there: Based on the three orders recorded as placed before a purchase order existed and their value.

How it's delivered. Apply a control at the point of ordering that requires a valid purchase order reference before an order can be committed, using the order-sequence indicator already recorded. Return non-compliant orders to the requesting function.

Who uses it. Requesting function, Procurement lead, Finance approver

Expected behaviour. Day to day, it confirms a valid purchase order exists before any order is placed and stops those that do not have one. It never lets an order proceed without a purchase order and never creates the purchase order on the requester's behalf.

Escalation & human fallback. Where a genuine urgent need exists, the blocked order is escalated to the Procurement lead for an authorised exception decision, recorded against the order; the control never grants the exception itself.

Sources. The commitments record, The procurement policy's order-sequence rule **Formats.** Structured transactional record, Governing policy document

Dependencies: Requires Customer Master Reconciliation first. Prerequisite for the AI Credit Decisioning step.

Where this comes from: Procurement Policy and Purchase Order Export

Exception monitoring and ownership for recorded exceptions

HITL WORKFLOW

Establish a routine that surfaces every order recorded in an exception state, assigns a clear owner, and drives each to remediation — filling the policy's silence on exception handling.

Before

1. Exception recorded but unactioned

Not assigned · Commitments export

The record marks orders as single-approval or placed before a purchase order existed, but no one is accountable for detecting or remediating them.

EUR 557,000 and EUR 216,000 of recorded exceptions sit without an owner

After

1. Surface recorded exceptions

Procurement lead · Commitments export

A regular review surfaces every order recorded in a single-approval or maverick state.

2. Assign owner and remediate

Finance approver · Commitments export

Each surfaced order is assigned to a named owner who drives it to remediation and records the outcome.

Business impact. This makes the EUR 557,000 of single-approval commitments and the EUR 216,000 of maverick commitments visible and owned, so recorded exceptions are detected and actioned rather than persisting unaddressed. It closes the policy's silence on exception handling by assigning accountability to the states the record already captures.

EUR 557,000 of single-approval commitments brought under monitoring

EUR 216,000 of maverick commitments brought under monitoring

2 — the two recorded approval states to be monitored

How we get there: Based on the recorded single-approval and maverick values that currently have no owner.

How it's delivered. Define exception ownership in the policy, set a regular review of orders in an exception state drawn from the commitments record, and record remediation against each. Extend the policy to name the exception-handling control it currently omits.

Who uses it. Procurement lead, Finance approver, Internal audit

Expected behaviour. Day to day, it surfaces every order recorded in an exception state and routes it to a named owner for remediation. It never closes an exception by itself and never overrides the underlying control.

Escalation & human fallback. Exceptions not remediated within the agreed window are escalated to internal audit or the governance owner for review; the routine never marks an exception as resolved without a human decision.

Sources. The commitments record, The procurement policy's controls

Formats. Structured transactional record, Governing policy document

Dependencies: Requires Customer Master Reconciliation first.

Where this comes from: Procurement Policy and Purchase Order Export

Transformation Roadmap

Sequenced across three horizons, aimed at a **Control-first: make the policy enforceable and the recorded exceptions visible before scaling spend volume** direction.

H1 — Enforce the dual-control the policy already mandates (0-6 months)

- **Enforced second-approval checkpoint for large commitments** opportunity — Addresses the largest exposure — EUR 557,000 across seven orders — and lays the dual-control foundation the later interventions build on.

H2 — Close the ordering route that bypasses the process (6-18 months)

- **Purchase-order-first ordering gate** opportunity — Brings the EUR 216,000 of maverick spend into the controlled process; most effective once the second-approval checkpoint is live, since all three maverick orders also lacked a second approval.

H3 — Govern and monitor residual exceptions (18+ months)

- **Exception monitoring and ownership for recorded exceptions** opportunity — Provides standing oversight of recorded exceptions once both controls are enforced and ownership is defined.

Supporting Artefacts

Reference material behind this assessment.

Source document index

Document	Type	What it is	Findings it supported
Purchase Order Export	System export	your Purchase Order Export	F1, F2, F3
Procurement Policy	Process documentation	your Procurement Policy	F1, F2, F3

Success metrics framework

How the impact of the recommended interventions should be measured once live — the dimension, what it means, and the target to hold delivery to.

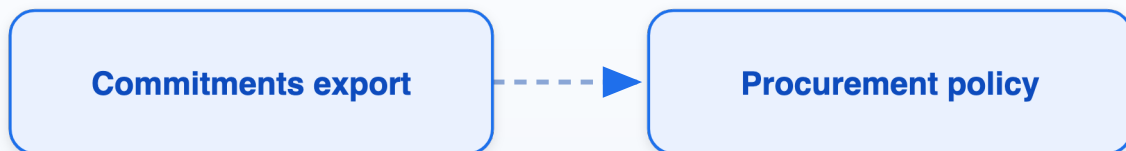
Metric	Definition	Target
Large commitments released under dual control	The share of large purchase orders that release only after a second Finance approval is recorded, measured against today's seven orders and EUR 557,000 released on a single approval.	Near-complete coverage — a material reduction in single-approval releases against the EUR 557,000 baseline, moving toward zero large orders released without a second approval.
Value protected by enforced second approval	The value of large commitments held until dual control is satisfied, relative to the EUR 557,000 and 12.0 percent of total value currently bypassing the second approval.	A sustained reduction in value released without a second approval against the EUR 557,000 baseline.
Orders placed with a purchase order first	The share of orders confirmed to have a valid purchase order before being placed, measured against today's three maverick orders worth EUR 216,000.	Near-complete compliance — a material reduction in orders placed outside the process against the EUR 216,000 baseline.

Metric	Definition	Target
Recorded exceptions with an assigned owner	The share of orders in a recorded exception state that have a named owner and a documented remediation outcome, across the two recorded approval states.	Full ownership coverage — every recorded exception assigned to an owner, improving as the monitoring routine beds in.
Exceptions remediated within the review cycle	The share of surfaced exceptions driven to a recorded outcome within the agreed review window, relative to the EUR 557,000 and EUR 216,000 currently left unactioned.	A rising share of recorded exceptions remediated each cycle, improving through tuning of the review routine.

System & data-flow map

The full step-by-step process flow is in the Current State Assessment; this is the systems view of the same domain.

SYSTEMS THE PROCESS TOUCHES, AND HOW DATA MOVES BETWEEN THEM



Companion material

- Ownership and handoff maps
- Exception and workaround register

A full technical trace of every figure in this assessment is available to your data team on request.